Missing basic documentation is often an impediment to obtaining financial services. Knowing this, the Reserve Bank has steadily eased the required documentation for basic financial services. For instance, recognizing that proof of address is difficult, especially for those moving location, RBI requires only one document showing permanent address be presented. Current address can be self-certified by the account owner, preventing the considerable problems customers face when they migrate inside the country. Unfortunately, the RBI's instructions sometimes do not percolate to every bank branch – which leads to unnecessary harassment for consumers, as vividly described by a columnist recently. Going forward, we have asked the Indian Banks' Association to devise common account forms, where minimum RBI requirements will be printed on the back of the form. It will, for instance, become clear that a very basic account with some restrictions on amounts and transactions can be obtained with no official documents whatsoever. [*Author's note: KYC requirements were subsequently displayed prominently on the RBI website*].

COMPETITION TO PREVENT EXPLOITATION

As I have argued, the excluded are typically risky, as well as costly to service. At the same time, they are also liable to exploitation because they have so little access. Exploitation may come from a moneylender who charges usurious rates, or a banker demanding personal gratification for giving a government-subsidized loan. The fundamental way to deal with exploitation is to increase competition amongst suppliers of financial services. Regulation can help, but we should be careful that regulation does not shut out competition, thus enhancing exploitation.

Consider two examples:

Politicians are rightfully concerned about the poor being charged usurious rates. So they often ask regulators to set interest rate ceilings.